

Days to ultimate high or low. Upward breakouts take longer to reach the ultimate high than downward breakouts take to reach the ultimate low. I crunched the numbers several ways. The first was to compare the *bull* market, upward versus downward breakouts. I found price drops 40% faster than it rises.

The second was to compare the *bear* market ratios for up and down breakouts. Price drops 110% faster than it rises.

The third was to compare bull and bear markets using the same breakout direction (both up or both down). The bear market sees price rise 40% faster than the bull market. Downward breakouts drop 120% faster in bear markets compared to bull markets. Isn't this cool?

What does this information mean? Be patient in bull markets for the largest gains. In bear markets, be ready to exit a trade quickly.

How many change trend? This is a measure of how many triangles see price move more than 20% after a breakout. I like to see values of 50% or higher, but only upward breakouts in bull markets qualify. Of course, the other columns suffer because of the high benchmark.

If you compare each column with the average for all other chart patterns, the numbers shown in the table either tie (bull market/down breakout) or fall short (the other three columns).

[Table 65.3](#) shows failure rates for descending triangles. How do you make sense of the numbers? Consider the 15% maximum price rise or decline row. Two columns show that more than half of the triangles (54%, 59%) will see price move no more than 15%. That is a huge failure rate.

Notice how the failure rates skyrocket for small changes in the maximum price. For example, the right two columns show the breakeven failure rate doubling for the next row down.

If you want to short a stock showing a descending triangle, do so only in bear markets. They have the fewest failures, at least initially. Trade upward breakouts from triangles in bull markets.

With so many triangles failing so early in the trade, it must mean that a few triangles perform well. Thus, keep a close eye on your position over time. Chances are it will fail to meet your dreams.